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Report Name: Newly Enacted Laws and Regulations Governing Biofuels Development in Mexico in 2025

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Report Category: Biofuels

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Report Highlights:

In 2025, Mexico enacted the Biofuels Law, the Hydrocarbons Sector Law, and the PEMEX Law, along with the corresponding implementing regulations. All together, these laws centralize regulatory oversight of biofuels and update the framework for biofuel production, blending, and quality standards. Mexico has not implemented changes to NOM-016-CRE-2016, known as NOM-16, which continues to govern ethanol blending and Methyl Tert-Butyl Ether (MTBE) use. Under NOM-16, Mexico maintains an ethanol blending cap of 5.8 percent and does not permit ethanol blending in Mexico City, Guadalajara, and Monterrey.

Overview of the Current Ethanol Market in Mexico

Mexico produces a limited amount of ethanol, mainly from sugarcane, and relies on imports for more than 90 percent of its consumption. In 2024, Mexico imported 302 million liters (1.9 million barrels) of non-beverage ethanol, predominantly from the United States. Domestic ethanol use is primarily industrial, including for use in solvents and in the production of beverages such as tequila and rum. Fuel ethanol use remains minimal due to regulatory restrictions and the small scale of domestic production.

Under [NOM-016-CRE-2016, Specifications of Petroleum-Based Products Quality](#), the primary regulatory framework governing ethanol and fuel specifications in Mexico, fuel ethanol blending is capped at 5.8 percent. NOM-16 does not permit ethanol blending in Mexico City, Guadalajara and Monterrey. Methyl Tertiary-Butyl Ether (MTBE) continues to be mandated as the oxygenate in these three metropolitan areas.

Mexico's Vision for Biofuels Under President Sheinbaum's Administration

The Sheinbaum administration has demonstrated a commitment to advancing renewable energy, including expanding the production and use of biofuels in Mexico. Domestic policies and programs to date have largely focused on increasing Mexico's production of sustainable aviation fuel (SAF). According to the Government of Mexico's [Plan México](#), the administration intends to expand domestic SAF production, supported by domestic sugarcane-based ethanol, and reduce reliance on imported SAF by 20 percent. The Airports and Auxiliary Services Network (ASA, acronym in Spanish) is currently leading a program that aims to produce SAF by 2030 and reach net-zero aviation emissions by 2050. ASA is state-owned enterprise that supports the Ministry of Communications and Transportation with airport regulation, inspection, and oversight.

There are some regional initiatives in Mexico that aim to strengthen production of biofuels. One example is a public-private project announced by the Government of Tamaulipas, scheduled to launch in January 2026, which plans to develop a USD 100 million biofuel facility. The project's first phase focuses on producing sorghum-based ethanol, while a second phase aims to incorporate an alcohol-to-jet pathway to generate SAF. The initiative also envisions using sugarcane and agricultural and forestry residues as additional feedstocks.

During Brazilian Vice President Geraldo Alckmin's visit to Mexico in August 2025, Mexico and Brazil signed a Memorandum of Understanding (MOU) to promote biofuel use. The agreement outlines cooperation on the use of ethanol as a biofuel in Mexico, with Brazil providing support to Mexican sugarcane growers in adopting practices to assess fuel lifecycle greenhouse gas emissions and participate in the Carbon Offsetting and Reduction Scheme for International Aviation (CORSIA). The MOU also establishes collaboration between Mexico and Brazil on the development of biofuel feedstocks and the infrastructure required for ethanol, SAF, and maritime sustainable fuels.

Enactment of New Biofuels and Hydrocarbons Law and Implementing Regulations

A series of energy reform laws in 2025 have centralized regulatory oversight of Mexico's hydrocarbons and energy sectors and established the framework for biofuel production, blending, and quality standards. These laws include the Biofuels Law, the Hydrocarbons Sector Law, and the PEMEX Law.

Under these new laws and implementing regulations, all functions of the Energy Regulatory Commission (CRE) are now centralized under the Secretariat of Energy (SENER) and the newly established Energy Commission (CNE). CNE operates under SENER's administrative structure.

[The Biofuels Law](#), enacted in March 2025, replaces the 2008 Law for the Promotion and Development of Bioenergy and establishes the regulatory framework for the production of pure biofuels derived from biomass, agricultural residues, surplus sugarcane, and sorghum. The law does not address ethanol blending with petroleum products, which continues to fall under NOM-16. According to the new law and the [Biofuels Law Implementing Regulation](#), SENER is responsible for issuing, suspending, and revoking permits for production, import, export, storage, transport, commercialization, distribution, and sale of biofuels. The Secretariat of Agriculture (SADER) is tasked with authorizing biomass production from surplus sugarcane, sorghum and agricultural residues. Applicants must submit geographic information for proposed planting areas and provide estimates of expected crop volumes destined for biofuel use. Under the law, feedstock production must not pose environmental risks or compromise national food self-sufficiency. SENER, together with the Secretariat of Telecommunications and Transport, is also responsible for permitting the production, distribution, and sale of SAF.

The New Biofuels Law differs from the previous 2008 Bioenergy legislation by establishing a comprehensive regulatory framework for the entire biofuel chain—production, distribution, import/export, and sale—whereas the 2008 law was largely aspirational without clear implementation mechanisms. The New Biofuels Law introduces definitions, permits, quality standards, and traceability requirements to promote sustainable biofuel production, especially from residues and marginal lands. The law and implementing regulations also aim to increase institutional oversight and collaboration through SENER, SADER, and the Secretariat of Environment and Natural Resources (SEMARNAT) to promote renewable energy, sustainability, and pollution reduction.

[The Hydrocarbons Sector Law](#), also enacted in 2025, defines “formulation” as the blending of gasoline, diesel, and jet fuel with biofuels and transfers the authority to establish quality specifications for these petroleum-based products from CRE to SENER. Under the new law and [the implementing regulations](#), blended fuels remain classified as petroleum products, and holders of formulation permits must comply with authorized blend ratios. Permits will be issued once a new official standard for fuel blend quality specifications is established and the evaluation bodies required under the Law of Infrastructure Quality are operational. The Hydrocarbons Sector Law marks the first time that the blending of petroleum-based fuels with biofuels is recognized as a distinct, regulated category.

[The PEMEX Law](#), published in March 2025, grants Petróleos Mexicanos the authority to research, develop, and implement biofuels, covering their production, transport, distribution, commercialization, and formulation. This legislation explicitly expands PEMEX's corporate purpose to include the development, research, and implementation of non-hydrocarbons energy sources, including biofuels. The PEMEX Law [implementing regulations](#) assert that the PEMEX Sustainability Plan must be aligned with the SENER National Energy Transition Strategy, the Energy Transition and Sustainable Energy Use Plan, the Electricity Sector Development Plan, and the Hydrocarbons Sector Development Plan.

Next Steps in Mexico's Updates to Policy and Regulatory Environment for Biofuels

In 2026, SENER is expected to publish the Plan for Energy Transition and Sustainable Energy Use (PLATEASE, acronym in Spanish) and the Plan for Hydrocarbons Development (PLADESHi, acronym in Spanish), mandated by the [Energy Planning and Transition Law](#) and implementing regulations. These publications may include targets and scenarios for biofuel production and use. These developments, along with domestic SAF and biomass-based biofuel initiatives, could create opportunities for U.S. ethanol exports, sorghum, and other feedstocks, depending on future regulatory changes.

Mexico may also choose to amend or update existing NOMS, a process which is governed under Article 35 of [the Law of Infrastructure of Quality](#). Under the process of amending NOMS related to biofuels and blended fuels, SENER registers the proposed amendment in the National Program of Quality Infrastructure and drafts the revised NOM, which is then reviewed by the National Consultative Committee for Normalization of Hydrocarbons, Petroleum-Based Products, and Petrochemicals. This committee includes representatives from Mexican federal agencies, PEMEX, private refiners, fuel marketers, research institutions, and industry associations. The committee may request amendments to the draft for SENER to address. Once finalized, the draft NOM undergoes public consultation for a minimum of 60 days, unless restricted for national security or safety reasons. After a review of public feedback and any incorporation of stakeholder input, SENER publishes the final version in the Official Gazette, specifying an effective date that must occur within 180 days of publication.

Attachments:

No Attachments.